# Market Context Policy

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**Version:** 2.0
**Status:** Proposed / Pending Approval
**Owner:** Raghdah Al-Gahdari, Business Analyst
**Approved by:** [pending]
**Last updated:** 2026-09-22
**Applies to:** AI Finance Decision Support — Team 1

**Scenario:** Mid-sized clothing retailer, Melbourne, Victoria
**Data:** All indicator values are sourced from named external data providers — the Australian Bureau of Statistics (ABS), the Reserve Bank of Australia (RBA), the World Bank, and the Essential Services Commission (ESC) Victoria — via the raw files listed in Section 3. Nothing is invented, estimated, or generated by the team or the Assistant; every value is traceable to a specific file, sheet, and column (see the companion data-sources reference document).

## 1. Purpose

Defines how the Assistant adds market context when explaining a financial variance — which categories get it, what indicators are used, and how it must be worded and cited. Used only in the *Explain* step of the workflow:

**Detect → Calculate → Classify → Explain → Present → Human Decision**

## 2. Categories and Priority

| Category | Category_Group | Market Context Priority |
|---|---|---|
| Revenue | Revenue | High |
| Cost of Goods Sold | COGS | High |
| Utilities Expense | Expense | Medium |
| Payroll Expense | Expense | Low |
| Marketing Expense | Expense | Low |
| Rent Expense | Expense | Low |
| Other Expense | Expense | Low |

- **High / Medium:** the Assistant checks for market context whenever a variance is flagged.
- **Low:** the Assistant does not check by default. It only does so if a separate qualitative flag says the variance looks unusual for other reasons.

Priority only controls whether the Assistant looks for market context. It has no effect on which indicator a category uses — that mapping is the same regardless of priority (Section 3).

## 3. Indicator Mapping

Each category maps directly to its own indicator(s) and the external file that indicator is sourced from:

| Category | Indicator(s) | Source |
|---|---|---|
| Revenue | Consumer clothing & footwear spending; AUD/USD exchange rate | ABS Monthly Household Spending Indicator — 5682002.xlsx, Sheet: Data1, Column 25 (Clothing and footwear, Original, % change from a year ago); RBA Table F11.1 — 2023-current.xls, Sheet: Data, Column B (A$1=USD) |
| Cost of Goods Sold | Cotton price index; AUD/USD exchange rate | World Bank Commodity Price Data (Pink Sheet) — CMO-Historical-Data-Monthly.xlsx, Sheet: Monthly Prices, Column: |

| Category | Indicator(s) | Source |
|---|---|---|
| | | Cotton, A Index; RBA Table F11.1 — 2023-current.xls, Sheet: Data, Column B (A$1=USD) |
| Utilities Expense | Electricity price (small business) | Essential Services Commission (ESC) Victoria — Victorian Default Offer (VDO), small business figures, from the official annual Final Decision Papers. 2024–25 = $3,530; 2025–26 = $3,620; 2026–27 = $3,380 |
| Payroll Expense | Inflation rate; Interest rate | ABS Consumer Price Index Australia — ABS_Consumer_Price_Index_Australia.xlsx, Sheet: Data1, Column K; RBA Table F1.1 — f01hist.xlsx, Sheet: Data, Column B (Cash Rate Target) |
| Marketing Expense | Inflation rate; Interest rate | Same two sources as Payroll Expense, above |
| Rent Expense | Inflation rate; Interest rate | Same two sources as Payroll Expense, above |
| Other Expense | Inflation rate; Interest rate | Same two sources as Payroll Expense, above |

**Rule:** where a category lists more than one indicator, cite all of them — never pick just one.

## 4. Stored Indicator Record

Each indicator is stored as one row with these fields:

| Field | Example |
|---|---|
| Category | Rent Expense |
| Indicator | Inflation rate |
| Period | 2026-06 |
| Value | 3.8 |
| Unit | % |
| Source | ABS Consumer Price Index Australia |

Lookup always uses Category + Indicator + Period together — Category alone can match more than one row. If no row matches the period, the Assistant says so; it never substitutes a different period's value.

**Note on quarterly/annual queries:** The stored table is monthly. When a query requests a quarter or year (e.g. "Q2 2026"), the Assistant retrieves all matching months individually (e.g. April, May, June 2026) and presents each month's value separately — it does not average them, since averaging can mask a single month's real spike or drop.

**Example:** *COGS deviated from the budget by X% in Q2 2026. During the same period, the cotton price moved as follows: April $1.90, May $2.03, and June $1.90 (Source: World Bank).*

## 5. Wording Rules

- Language is always probabilistic — "may have contributed," "could be associated with" — never a confirmed cause.
- Every statement names the indicator, its value, the period, and its source.
- **Template:** *"The [X%] variance in [Category] may be partly consistent with the [Y%] change in [Indicator] observed during [Period] (Source: [Source])."*
- Two qualifying indicators → two separate sentences, not one merged sentence.
- No matching data for the period → "No matching market context is available for this period."

## 6. Relationship to Other Governing Documents

| Document | Relationship to this Document | Owner |
|---|---|---|
| business-rules.md (POL-DATA-002) | Defines the assumed scenario (§3) this document's priorities rely on, and the workflow step (§7) in which this document is used | Business Analyst |
| synthetic-data-policy.md (POL-DATA-001) | Governs provenance and confidentiality of the underlying financial dataset; this document assumes that policy's requirements are already satisfied. | Business Analyst |
| Financial_Calculation_Formulas.md | Defines the financial and variance calculations that provide the basis for the market-context explanation. | Business Analyst |
| CSV_SQL_Data_Structure_Specification.md | Defines the Category_Group values referenced in Section 2 | Technical team, reviewed by BA |
| Data-sources reference (companion doc) | Gives the exact file/sheet/column for every source in Section 3, for the development team | Business Analyst |

## 7. Governance

- Any change to the assumed business scenario in business-rules.md §3 requires this document's priority table (Section 2) to be reviewed in the same review cycle.
- Any change to the indicator mapping or sources (Section 3) requires BA sign-off and a version increment.

## 8. Changelog

| Version | Date | Change | Author |
|---|---|---|---|
| 0.1 | 2026-09-17 | Initial draft, derived from prior market-context research and aligned to business-rules.md (POL-DATA-002). | Raghdah Al-Gahdari |
| 1.0 | 2026-09-21 | Major revision: simplified structure, updated category priorities, market indicator mappings, lookup and period-matching rules, explanation rules. Data marked as synthetic for prototype testing. | Raghdah Al-Gahdari |
| 2.0 | 2026-09-22 | Major revision, reverting from synthetic to real external data sources per instructor guidance. This is a fundamental change to the document's data premise (stated in the "Data" line above), not an incremental edit — a Source column was added to Section 3's indicator mapping and a Source field to Section 4's stored record, naming the specific ABS, RBA, World Bank, and ESC Victoria files behind each indicator. | Raghdah Al-Gahdari |

## 9. Sign-off

By approving this document, the Supervisor confirms that the category priorities, indicator mapping, sources, and wording rules above have been reviewed and approved for use in the prototype.

| Role | Name | Signature | Date |
|---|---|---|---|
| Owner / Author | Raghdah Al-Gahdari | Raghdah Al-Gahdari | 2026-09-22 |
| Supervisor / Approver | Aaron | | |

## References


Australian Bureau of Statistics. (n.d.). *Consumer price index, Australia*. Retrieved September 17, 2026, from https://www.abs.gov.au/statistics/economy/price-indexes-and-inflation/consumer-price-index-australia/latest-release

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